

NTSK

Netskope trades at just 5.9x EV/Revenue, a fraction of SSE/SASE peers, despite ~28% growth and best-in-class 118% NRR

Street PT **\$16.11** **+18.6%**

Netskope

NTSK

PUBLIC

DRAFT

[www.netskope.com](#)
Updated July 19, 2026 · 6 versions

Cybersecurity

SASE

SSE

Cloud Security

18 ANALYSTS · CONSENSUS VIEW

+18.6%

upside to the Street target
at 6.8x EV/Rev (LTM)

PRICE	MKT CAP	STREET PT
\$13.59	\$5.5B	\$16.11
EV / REV	CONSENSUS	VS QQQ
6.8x	Strong_Buy	-57pp 1Y

All trading data as of the **2026-07-17** US market close (yfinance; EV/Rev recomputed from last close × shares + net debt). Figures covering a different window are labeled individually.

FORWARD P/E

955.0x

consensus fwd EPS

EV/REV 52-WK BAND

3.6x-14.5x

price effect only; today's shares, net debt + LTM rev

SHORT INTEREST

14.6%

% of float

NET CASH

\$357M

cash – total debt

DILUTED SHARES

400.5M

SEC 10-Q · Q ended 2026-04-30 · wtd-avg diluted, TSM as reported · ties to live count ±0.8%

SBC % OF REV

77.3%

LTM, the dilution drag

WHAT MATTERS

KEY DEBATE

Zscaler scale gap: Zscaler has ~\$2.2B ARR vs. Netskope's \$845M, nearly 3x the revenue at a similar growth rate, giving Zscaler R&D, GTM, and brand advantages that compound over time. A CISO choosing between the two in a vendor consolidation initiative often defaults to the larger incumbent.

NEXT CATALYST

Next earnings report: 2026-08-12

BULL · BASE · BEAR

Bear Zscaler scale gap: Zscaler has ~\$2.2B ARR vs	Base STREET \$16.11 (+18.6%) Street consensus Strong_Buy, 18 analysts; the \$16.11 target sits +18.6% above the \$13.59 close	Bull Profitability inflection: The path from -58% GAAP margin toward breakeven is the single clearest re-rating catalyst toward peer multiples
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BUSINESS OVERVIEW

IN ONE SENTENCE

Netskope is a cloud-native SSE/SASE platform consolidating CASB, SWG, ZTNA, and FWaaS for enterprise CISOs. IPO'd NASDAQ (NTSK) September 2025 at \$19/share; \$845M ARR (+29% YoY) as of Q1 FY2027.

PLAIN ENGLISH

What it does, who pays

- Netskope sells cloud security to big companies. Instead of routing office traffic through hardware boxes, it inspects employees' internet and cloud-app traffic in its own global cloud, blocking threats, stopping data leaks, and enforcing who can reach what.
- One subscription replaces several legacy security appliances (web filters, VPNs, cloud-app controls).

THE TECHNICAL VERSION

How it actually works

- Netskope is a Security Service Edge (SSE)/SASE platform delivered from its own private cloud (NewEdge). It consolidates CASB, Next-Gen Secure Web Gateway, ZTNA and Firewall-as-a-Service into one inline control plane, applying DLP and threat protection to decrypted traffic at the edge.
- Sold per-user on multi-year SaaS subscriptions; the economics show in ARR (\$845M, +29% YoY), NRR (118%), GRR (96%) and RPO (>\$1B). Still GAAP-unprofitable (-58% operating margin LTM) as it scales toward the Zscaler/Palo Alto comp set.

EXPLAINED SIMPLY

The analogy

- Think of Netskope as a smart airport-security checkpoint that lives in the cloud: every time an employee opens a website or cloud app, their traffic passes through Netskope's scanners, which wave through the safe stuff and stop threats and leaks, so the company doesn't need a pile of separate security machines.

KEY TERMS, DECODED

SASE *Secure Access Service Edge*

Bundling networking and security into one cloud service, so remote staff connect to apps safely without routing their traffic back through a corporate data center.

SSE *Security Service Edge*

The security half of SASE, the cloud gateway that inspects and filters employees' traffic to websites and cloud apps.

CASB *Cloud Access Security Broker*

A control point that governs how employees use cloud apps like Salesforce or Google Drive, who can do what, and what data is allowed to leave.

ZTNA *Zero Trust Network Access*

Granting access app-by-app only after verifying the user and device, instead of trusting anyone already inside the network, the modern replacement for VPNs.

DLP *Data Loss Prevention*

Scanning traffic for sensitive data (customer records, source code, financials) and blocking it from being uploaded or shared where it shouldn't go.

NRR *Net Revenue Retention*

How much more (or less) existing customers spend a year later, after upgrades and churn. Above 100% means the customer base grows revenue on its own; Netskope's is 118%.

- Netskope is a cloud-native Security Service Edge (SSE) and Secure Access Service Edge (SASE) platform founded in 2012 in Santa Clara, CA. The company pioneered the Cloud Access Security Broker (CASB) category and has evolved into a full platform consolidating CASB, Secure Web Gateway (SWG), Zero Trust Network Access (ZTNA), and Firewall-as-a-Service (FWaaS) into a single control plane sold to enterprise CISOs.
- Netskope completed its \$908M IPO on NASDAQ (NTSK) in September 2025, the largest cybersecurity IPO of the year, and trades at \$10/share as of the 2026-06-05 close (following a sharp post-Q1-FY27 selloff), implying a ~\$2.4B market cap and 5.9x EV/Revenue LTM, a steep discount to SSE/SASE peers.
- As of Q1 FY2027 (April 30, 2026), Netskope reports \$845M ARR (+29% YoY), \$202M quarterly revenue (+28% YoY), 118% NRR, and 4,317 enterprise customers across 90 countries.
- The stock's 37% decline from its \$19 IPO price, against a consensus analyst target of \$17.89 (18 analysts, strong buy), is the central debate.

SOURCES: **NETSKOPE FORM S-1 / IPO PROSPECTUS (SEC EDGAR)** · **NETSKOPE INVESTOR RELATIONS**

EXECUTIVE LEADERSHIP

CO-FOUNDER AND CHIEF EXECUTIVE OFFICER

Sanjay Beri

Co-founded Netskope in 2012. Previously senior roles at Palo Alto Networks and Juniper Networks. Led the company through its \$908M IPO in September 2025.

CO-FOUNDER AND CHIEF TECHNOLOGY OFFICER

Krishna Narayanaswamy

Two decades in security. Co-holder of Netskope's foundational CASB patent. Co-authored the industry's first Cloud Security for Dummies book.

CHIEF FINANCIAL OFFICER

Drew Del Matto

25+ years in technology finance. Previously CFO at Citrix Systems and Fortinet. Joined Netskope to lead the IPO process.

EVP, WORLDWIDE SALES

Raphael Bousquet

Network security veteran. Promoted to lead global sales and channel in February 2024.

PRODUCT & REVENUE MODEL

- Netskope licenses its SSE/SASE platform on a per-user annual or multi-year SaaS subscription.
- The platform has four core pillars: CASB (the founding product, inline and API-based cloud app control); Next-Gen SWG (web threat protection and acceptable use enforcement); ZTNA (identity-aware least-privilege access replacing VPNs); and FWaaS (cloud-native network firewall). DLP and threat protection capabilities are embedded across all modules.
- GTM is top-down enterprise, selling to CISOs at Fortune 500 accounts via a direct sales force complemented by channel partners.
- The dominant motion is land-and-expand: enter via CASB or SWG, then cross-sell additional modules and expand user seats.
- The company's proprietary NewEdge cloud network, claimed to be within 15 milliseconds of any user globally, is the primary performance differentiator versus Zscaler's third-party data-center infrastructure.

SOURCE: [NETSKOPE, PLATFORM / SSE OVERVIEW](#)

RECENT NEWS

2026-07-07

Netskope: AI Demand and Platform Adoption Still Support Buy

SOURCE: [SEEKING ALPHA](#)

Detailed analysis reaffirms Buy thesis, ARR \$845M +29% YoY, RPO +33%, 113% NRR, 57% of large customers using 4+ products, signaling durable platform stickiness heading into H2 FY2027.

2026-06-29

Wells Fargo reiterates Buy on Netskope, maintains \$13 price target

SOURCE: [SEEKING ALPHA](#)

Continued Buy stance after the post-earnings sell-off signals institutional conviction that the ~23% decline was an overreaction to a lighter ARR beat rather than structural growth impairment.

2026-06-25

KeyBanc lowers Netskope price target to \$14 from \$15, maintains Overweight

SOURCE: [SEEKING ALPHA](#)

Analyst trimmed PT citing IT budget gaps from KeyBanc's H1 2026 CIO survey, while keeping the bullish rating and calling AI-security names a preferred stay-long sector.

2026-06-07

Netskope CEO Sanjay Beri appears on CNBC 'Fortt Knox' to discuss fiscal Q1 2027 earnings

SOURCE: [CNBC](#)

First post-print CEO commentary after the June 3 Q1 FY27 report; signals management is actively defending the story into the post-earnings stock weakness.

2026-06-03

Netskope Q1 FY2027 Earnings: Quarterly Revenue \$202M (+28% YoY); Cumulative ARR \$845M (+29% YoY)

SOURCE: [SEC EDGAR](#)

ARR growth deceleration from 34% to 29% YoY is the key investor debate, is this normal maturation toward a \$1B ARR steady state, or the start of a more pronounced deceleration against a more competitive landscape?

2025-12-11	Netskope First Post-IPO Earnings: FY2026 Guidance of \$701-703M Beats Street Estimates SOURCE: BLOOMBERG Beating analyst consensus of ~\$690M on inaugural public guidance signals execution credibility; the guidance raise reflects AI-driven enterprise security budget expansion.
2025-09-18	Netskope Climbs 21% After \$908M IPO on NASDAQ (NTSK); Lightspeed Books \$1B+ Return SOURCE: BLOOMBERG The largest cybersecurity IPO of 2025 validated institutional demand for SASE/SSE infrastructure plays; the post-IPO selloff to \$12 from \$22.49 first-day close sets up the current valuation debate.
2025-09-16	Netskope IPO In Demand as AI Era Heightens Cyber Threats; Deal ~20x Oversubscribed SOURCE: BLOOMBERG AI adoption expanding enterprise attack surfaces is the core secular demand driver; the 20x oversubscription reflects the structural thesis rather than company-specific factors.

FINANCIALS & KEY METRICS

Reporting period: Q1 FY2027 (ended April 30, 2026); reported June 3, 2026. Each metric is tagged with the period it covers; LTM and as-of figures are labeled individually.

ARR \$845M ▲ +29% YoY Q1 FY2027	
NRR 118% AS OF JULY 31, 2025	OPERATING MARGIN GAAP -58.2% LTM
REVENUE \$202M ▲ +28% YoY Q1 FY2027	GRR 96% AS OF JULY 31, 2025

RPO

>\$1B

AS OF OCTOBER 31, 2025

GROSS MARGIN GAAP

68.1%

LTM per yfinance; ~71% per H1 FY2026 S-1

CUSTOMERS

4,317

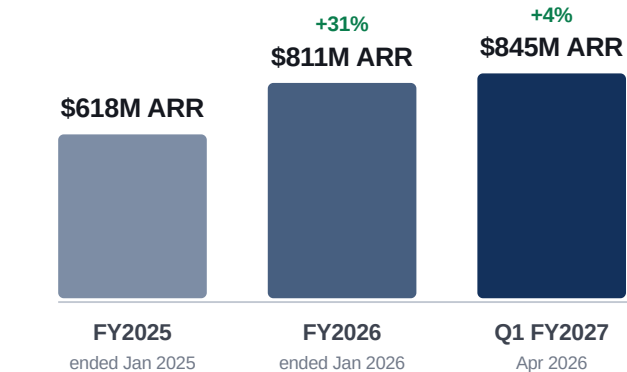
Q1 FY2027

- **AI / Product:** Netskope is executing on a 30% growth trajectory post-IPO with strong retention metrics (NRR 118%, GRR 96%) and an RPO pipeline exceeding \$1B, validating platform stickiness. However, the stock's 47% decline from its IPO price to \$10, creating a 2.7x EV/Revenue multiple (as of 2026-06-23 close) against 32% growth, implies the market is pricing in significant deceleration or margin concerns.
- **Demand:** Demand is compounding across three vectors: (1) AI-driven data security, every generative AI deployment creates new exfiltration risk surfaces requiring inline CASB/DLP, Netskope's core competency; CEO Beri explicitly called this 'a redefinition of the biggest market in security'; (2) cloud migration, SASE architectures structurally replace on-premises perimeter security; (3) vendor consolidation, enterprise CISOs are actively reducing point solution sprawl, benefiting full-platform SSE vendors. NRR expansion from 113% (July 2024) to 118% (July 2025) indicates accelerating wallet-share capture within the existing customer base.

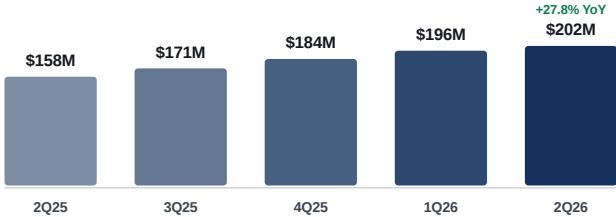
SOURCE: NETSKOPE INVESTOR RELATIONS, QUARTERLY RESULTS

REVENUE TRAJECTORY

ANNUAL REVENUE (\$B)



QUARTERLY REVENUE (\$B)



SOURCES: SEC filings · SEC 10-K · SEC 8-K

LAST 5 QUARTERS

	2Q25	3Q25	4Q25	1Q26	2Q26
REVENUE	\$158M	\$171M	\$184M	\$196M	\$202M
YOY					+27.8%
QOQ		+8.3%	+7.9%	+6.6%	+2.7%
GROSS MARGIN	69.4%	72.2%	57.9%	73.0%	73.5%

SOURCE: yfinance / Yahoo Finance (quarterly income statement) · calendar-quarter labels on fiscal period-ends; gross margin = gross profit / revenue. Most recent quarter (2Q26): 27.8% YoY revenue growth.

KEY RISKS & DEBATES

- !

Zscaler scale gap: Zscaler has ~\$2.2B ARR vs. Netskope's \$845M, nearly 3x the revenue at a similar growth rate, giving Zscaler R&D, GTM, and brand advantages that compound over time. A CISO choosing between the two in a vendor consolidation initiative often defaults to the larger incumbent.
- !

Multiple compression risk: At 3.6x EV/Revenue and 32% growth, NTSK trades well below comparable peers, but if growth decelerates below 25%, the stock could re-rate further downward. The 52-week low of \$7.67 suggests the market has already stress-tested this scenario.
- !

Gross margin trajectory: S-1 disclosed ~71% GAAP gross margins, but LTM yfinance shows 68.1%. Compression driven by headcount and infrastructure scaling ahead of revenue is manageable if temporary; structural margin headwinds from competitive pricing pressure are not. Path to 75%+ GAAP GM (Zscaler standard) is critical for public-market re-rating.
- !

Palo Alto bundling: Palo Alto Networks' 'platformization' strategy, offering customers favorable pricing to consolidate onto PANW's full stack, is a direct threat to Netskope's point-of-sale and expansion motion. If PANW accelerates Prisma SASE attach rates in its installed base, Netskope loses its natural land-and-expand wedge in PANW accounts.
- !

Loss-making on the public stage: Net loss of \$354.5M in FY2025 and \$169.5M in H1 FY2026, in an environment where public markets have reduced patience for non-profitable growth. Path to FCF positivity must be visible in the next 1-2 years to maintain institutional sponsorship.
- !

Post-IPO lock-up expirations: Lightspeed (19.3%) and ICONIQ (19.2%) represent nearly 40% of shares outstanding. As lock-up periods expire, secondary selling pressure from early investors could weigh on the stock regardless of operational performance.

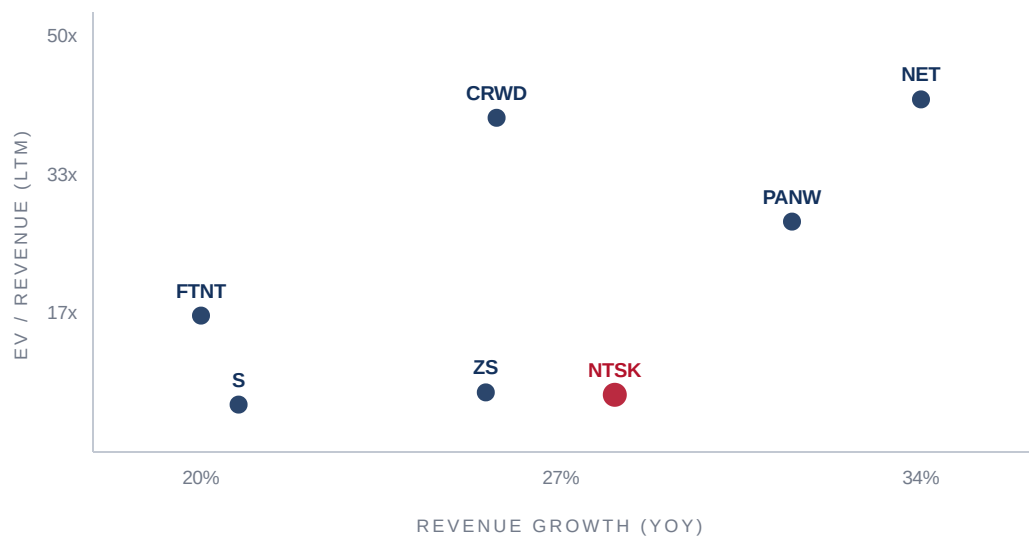
SOURCE: NETSKOPE FORM S-1, RISK FACTORS (SEC EDGAR)

COMPARABLE COMPANIES

COMPANY	TICKER	TYPE	MKT CAP	EV / REV LTM	REV GROWTH YoY	GROSS MARGIN	FCF MARGIN LTM	RULE OF 40 growth + FCF
Netskope	NTSK	Subject	\$5.5B	6.8x	27.8%	69.3%	35.1%	63
Cloudflare, Inc.	NET	Peer	\$98.6B	42.0x	33.5%	73.3%	32.4%	66
CrowdStrike Holdings, Inc.	CRWD	Peer	\$206.8B	39.9x	25.6%	75.1%	37.8%	63
Palo Alto Networks, Inc.	PANW	Peer	\$292.3B	27.5x	31.1%	72.0%	33.7%	65

COMPANY	TICKER	TYPE	MKT CAP	EV /	REV	GROSS MARGIN	FCF	RULE OF 40 growth + FCF
				REV	GROWTH		MARGIN	
				LTM	YoY		LTM	
Fortinet, Inc.								
network security incumbent; hardware+software model; highest gross margin in peer set, slowest growth	FTNT	Peer	\$118.4B	16.3x	20.1%	80.3%	25.5%	46
Zscaler, Inc.								
most direct SSE peer; \$2.2B ARR, 7,700+ customers; premium on scale and installed base	ZS	Peer	\$24.2B	7.1x	25.4%	76.7%	34.9%	60
SentinelOne, Inc.								
closest market cap peer at \$5.5B; AI-native endpoint; lower growth, similar multiple dislocation thesis	S	Peer	\$6.6B	5.7x	20.8%	73.2%	25.6%	46
Peer median EX-SUBJECT				21.9x	25.5%	74.2%	33.0%	62

GROWTH VS MULTIPLE



SOURCES: Public-ticker multiples pulled live from [yfinance / Yahoo Finance](#), as of the 2026-07-17 market close; EV/Rev recomputed from last close × shares + net debt. Rev Growth (YoY), Gross Margin, and FCF Margin reflect each company's most recent reported quarter / LTM, so their as-of periods differ by company and from the price close above. Rule of 40 = revenue growth + FCF margin. **Netskope trades at 6.8x vs a 21.9x peer median, a 69% discount to the median.**

SWOT ANALYSIS

How Netskope stands out: Netskope trades at just 5.9x EV/Revenue (as of 2026-07-08), a fraction of SSE/SASE peers (Zscaler 6.1x, SentinelOne 4.5x, Palo Alto 20.8x, CrowdStrike 32.8x, Cloudflare 34x), despite ~28% growth and best-in-class 118% NRR. The discount is the post-IPO 'show me GAAP profitability' debate, sharpened by the post-Q1-FY27 selloff.

STRENGTHS

INTERNAL EDGE

- **Deep value vs peers:** 5.9x EV/Rev (as of 2026-07-08) on ~28% growth, the cheapest pure-play SSE name by a wide margin (ZS 6.1x, S 4.5x), a large multiple gap to close if profitability inflects.
- **Best-in-class retention:** 118% NRR / 96% GRR and >\$1B RPO (+41% YoY) across 4,300+ enterprises, a durable, expanding base.
- **Platform consolidation:** CASB + SWG + ZTNA + FWaaS in one control plane, rides the budget shift from point products to a single SASE platform.

WEAKNESSES

INTERNAL GAP

- **GAAP-unprofitable:** -58% GAAP operating margin (LTM), the core reason for the discount to profitable peers like Palo Alto and Fortinet.
- **Subscale:** \$845M ARR vs Zscaler's \$2.2B+, smaller in a platform market that rewards scale.
- **Post-IPO transition:** Down ~22% after Q1 FY27 and a recent CFO retirement add volatility and execution risk.

OPPORTUNITIES

EXTERNAL UPSIDE

- **Profitability inflection:** The path from -58% GAAP margin toward breakeven is the single clearest re-rating catalyst toward peer multiples.
- **SASE/SSE secular shift:** Migration from VPN/appliance security to cloud-delivered SSE expands the per-user wallet.
- **AI/data-security attach:** DLP and AI-app governance as a new upsell into the installed base.

THREATS

EXTERNAL RISK

- **Crowded field:** Zscaler, Palo Alto (Prisma), Cloudflare, Microsoft and Fortinet all compete in SASE/SSE.
- **Budget cyclicalities:** Macro-driven security-budget tightening and elongating enterprise deal cycles.
- **Rule-of-40 scrutiny:** At ~28% growth with deeply negative GAAP margins, the market is demanding efficient growth, not growth-at-all-costs.

SOURCES: NETSKOPE INVESTOR RELATIONS · YFINANCE / YAHOO FINANCE, LIVE COMPS (2026-06-05 CLOSE)

PRIMARY FILINGS (SEC EDGAR)

8-K	filed 2026-07-10 · period 2026-07-07	View on EDGAR >
10-Q	filed 2026-06-03 · period 2026-04-30	View on EDGAR >
8-K	filed 2026-06-03 · period 2026-06-03	View on EDGAR >
10-K	filed 2026-03-31 · period 2026-01-31	View on EDGAR >

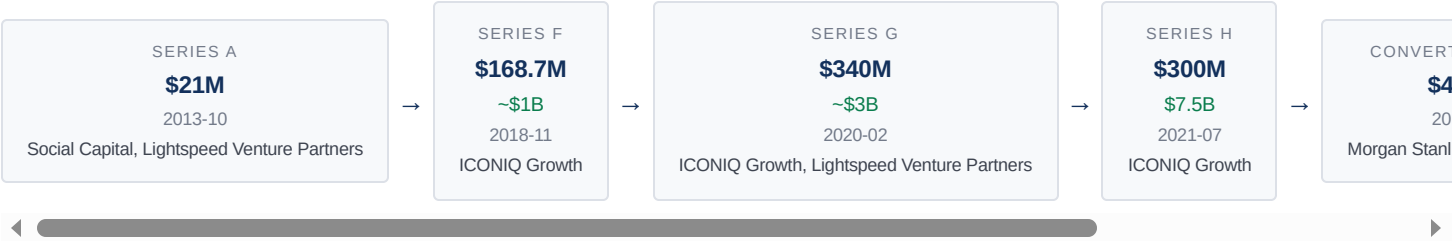
10-Q

filed 2025-12-11 · period 2025-10-31

View on EDGAR ›

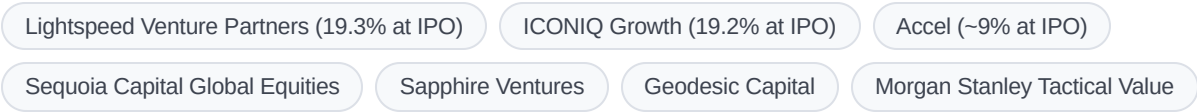
SOURCE: SEC EDGAR · CIK 0002063196 · primary filings of record.

FUNDING HISTORY



Total raised: \$1,438M

NOTABLE INVESTORS



IPO READINESS

- IPO completed September 18, 2025 on NASDAQ (NTSK). Raised \$908M at \$19/share; first-day close \$22.49 (+21%). Stock now at \$12 (37% below IPO price) as of June 3, 2026; 52-week range \$7.67-\$27.99.
- Analyst consensus target \$17.89 (18 analysts, strong buy). EV/Revenue LTM: 3.6x, the cheapest public security name on a growth-adjusted basis.

SLIDE-READY BULLETS

- 1 \$845M ARR growing 29% YoY as of Q1 FY2027, NRR of 118% and GRR of 96% across 4,317 enterprise customers in 90 countries confirm platform stickiness and durable land-and-expand economics.
- 2 IPO'd NASDAQ (NTSK) September 2025 at \$19/share raising \$908M; stock now at \$10 implies 5.9x EV/Revenue (as of 2026-07-08) with 32% growth, the cheapest valuation in the public security peer set on a growth-adjusted basis against consensus analyst target of \$17.89.
- 3 Sole pure-play SSE platform alongside Zscaler in a \$30B+ SASE/SSE market; differentiated on data protection heritage (CASB founder), proprietary NewEdge network (<15ms global latency), and single-policy-engine architecture, directly positioned against Zscaler's proxy-first and Palo Alto's bundle strategy.
- 4 AI adoption is a structural demand accelerator: every generative AI deployment creates new data-exfiltration risk surfaces requiring inline CASB/DLP; CEO Beri called this 'a redefinition of the biggest market in security, data network security' on IPO day.

- 5 Key debate: NTSK at 5.9x EV/Rev (as of 2026-07-08) (vs. Cloudflare ~41x (as of 2026-07-08 close, see comps table) on comparable growth) is either the most compelling post-IPO security discount in years, or a warning signal about gross margin trajectory, loss profile, and competitive intensity from Zscaler (\$2.2B ARR, ~3x NTSK's scale).

SMART DILIGENCE QUESTIONS

- Q1 What is driving the 29% ARR growth in Q1 FY2027 vs. 34% in Q3 FY2026, is the deceleration attributable to tough year-over-year comparables as the IPO benefited pipeline, or does it reflect genuine competitive pressure from Zscaler or Palo Alto Networks in renewals and new logos? How does NRR trend quarter-over-quarter in the most recent two periods?
- Q2 What is the gross margin by product pillar and customer segment, specifically, is margin compression in the 68% LTM vs. 71% S-1 period driven by NewEdge infrastructure investment (temporary, normalizes with scale) or by competitive pricing concessions to win multi-module consolidation deals against Zscaler (structural)?
- Q3 What is the overlap and head-to-head win rate versus Zscaler in competitive bake-offs, and what is the average contract value and module attach rate for deals where Netskope wins, is the primary wedge still CASB/SWG or has ZTNA become the entry point, and does the module attachment trajectory support reaching \$1B ARR with 30%+ NRR economics?

Sources: Company IR, earnings transcripts, Bloomberg, SEC filings, Sacra, Crunchbase, yfinance

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ATLAS